

SS5/25 - Enhancing banks' and insurers' approaches to managing climate-related risks

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Supervisory statement 5/25

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This supervisory statement sets out the Prudential Regulation Authority's (PRA) expectations for firms' approaches to managing climate-related risks. It aims to ensure that firms build the capabilities and resilience needed to effectively manage these risks.

The approach is proportionate, practical, and reflects the evolving climate-related risk landscape.

The supervisory statement:

- describes the transmission channels through which climate-related risks can arise and the characteristics of these risks which, when

considered together, present unique challenges and require a strategic management approach;

- sets out the implementation of the expectations, including the PRA's approach to the proportionate application of the expectations by firms;
- covers supervisory expectations related to governance, risk management, climate scenario analysis, data, and disclosures; and provides additional context for banking and insurance specific issues.

Current version

Published on 3 December 2025

[Supervisory statement 5/25 – December 2025 \(PDF\)](#) (Amended from SS4/25)

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